

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

Department 19, Honorable Theodore C. Zayner Presiding

Maggie Castellon, Courtroom Clerk
191 North First Street, San Jose, CA95113
Telephone: 408.882.2310

To contest the ruling, call (408) 808-6856 before 4:00 P.M. or email department19@scscourt.org. Please state your case name, case number, the name of the attorney and contact number. It would also be helpful if you could identify the specific portion or portions of the tentative ruling that will be contested. Please also make sure you have notified the other side in a timely fashion that you are contesting the tentative ruling. (See R. Ct. 3.1308(a)(1); Local Rule 8.E.)

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- If any party wants a Court Reporter, the appropriate form must be submitted. The Reporter can appear in person or remotely.
- Members of the public who wish to observe can do so through Microsoft Teams (using the link discussed above) or in person. Please make sure to turn your camera off and mute yourself if you are observing the proceedings remotely.
- As a reminder, state and local Court Rules prohibit recording of court proceedings without a Court order. This prohibition applies while in the courtroom and while on Microsoft Teams.

LAW AND MOTION TENTATIVE RULINGS

DATE: August 6, 2025

TIME: 1:30 P.M.

PREVAILING PARTY SHALL PREPARE THE ORDER

UNLESS OTHERWISE STATED (SEE [RULE OF COURT 3.1312](#))

LINE #	CASE #	CASE TITLE	RULING
LINE 1	21CV376550	Freeland v. Momentum for Mental Health (Class Action)	See Line 1 for tentative ruling.
LINE 2	22CV405002	Cancino v. Cotton on USA Inc. (Class Action)	See Line 2 for tentative ruling.
LINE 3	23CV416653	Perez v. DGA Services, Inc. dba JIT Transportation (Class Action/PAGA)	See Line 3 for tentative ruling.
LINE 4	24CV435535	Valdez v. HSSG Inc., et al. (Class Action)	See Line 4 for tentative ruling.
LINE 5	22CV398628	Strawbuck v. Equity Lifestyle Properties, Inc. (Class Action/PAGA)	See Line 5 for tentative ruling.
LINE 6	24CV438842	Zermeno v. FRC Balance LLC dba True Food Kitchen (Class Action)	See Line 6 for tentative ruling.
LINE 7	23CV416653	Perez v. DGA Services, Inc. dba JIT Transportation (Class Action/PAGA)	See Line 3 for tentative ruling.
LINE 8			
LINE 9			

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LAW AND MOTION TENTATIVE RULINGS

LINE 10			
LINE 11			
LINE 12			
LINE 13			

Calendar Line 1

Case Name: Freeland v. Momentum for Mental Health (Class Action)
Case No.: 21CV376550

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on August 6, 2025, at 1:30 p.m. in Department 19. The Court now issues its tentative ruling as follows:

I. Introduction

This is a putative class and representative action arising from alleged violations of wage and hour laws. On February 26, 2021, plaintiff Sinora Freeland began this action by filing a Class Action Complaint against defendant Momentum for Mental Health (“Defendant”), asserting causes of action for: (1) unpaid overtime; (2) unpaid meal period premiums; (3) unpaid rest period premiums; (4) unpaid minimum wages; (5) final wages not timely paid; (6) wages not timely paid during employment; (7) non-compliant wage statements; (8) failure to keep requisite payroll records; (9) unreimbursed medical expenses; (10) violation of Business and Professions Code section 17200, *et seq.*

On June 16, 2021, Plaintiff filed a separate action against Defendant in this court (Case No. 21CV384331), asserting a sole cause of action for penalties pursuant to the Private Attorneys General Act (“PAGA”).

The parties have reached a settlement, and Plaintiff now moves for preliminary approval of the settlement. The motion is unopposed.

II. Legal Standard for Settlement Agreements

A. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235 (*Wershba*),

disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244-245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of factors depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the "proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." (*Ibid.*, citation and internal quotation marks omitted.)

The burden is on the proponent of the settlement to show that it is fair and reasonable. However, "a presumption of fairness exists where: (1) the settlement is reached through arm's-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small." (*Wershba, supra*, 91 Cal.App.4th at p. 245, citation omitted.)

B. PAGA

Labor Code section 2699, subdivision (l)(2) provides that "[t]he superior court shall review and approve any settlement of any civil action filed pursuant to" PAGA. The court's review "ensur[es] that any negotiated resolution is fair to those affected." (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC*

(2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639.)

Like its review of class action settlements, the Court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) It must make this assessment “in view of PAGA’s purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 [“when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public”], quoting LWDA guidance discussed in *O’Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O’Connor*).)

The settlement must be reasonable considering the potential verdict value. (See *O’Connor*, *supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-cv-02198-EMC) 2016 WL 5907869, 2016 U.S. Dist. LEXIS 140759, at *20-24.)

II. Discussion

A. Provisions of the Settlement

This case has been settled on behalf of the following class:

[A]ll current and former non-exempt employees of Defendants in California employed during the Class Period [February 26, 2017, through October 30, 2023].

(Declaration of Helene Mayer (“Mayer Decl.”), Ex. 1 (“Agreement”), ¶¶ I.B, I.F.) The settlement includes a subset PAGA Group (or “PAGA Group Members”), defined as: “all current and former non-exempt employees of Defendant in California employed during the PAGA Period [April 2, 2020, through October 30, 2023].” (*Id.* at ¶¶ I.Y, I.BB.)

Defendant will pay a gross settlement amount of \$1,750,000, subject to an escalator clause. The gross settlement amount includes attorney fees of up to 35 percent of the gross settlement amount (i.e., \$603,750); litigation costs not to exceed \$30,000; a PAGA allocation of \$400,000 (75 percent of which will be paid to the LWDA and 25 percent of which will be paid to PAGA Employees as individual PAGA payments); a service payment of up to \$10,000; and settlement administration costs up to \$10,000. The net settlement amount will be distributed to participating class members on a pro-rata basis according to the number of workweeks they were employed by Defendant. Individual PAGA payments will be distributed according to the number of pay periods worked. The Agreement provides that Simpluris Inc. will serve as the neutral entity appointed to administer the settlement. The court approves and appoints Simpluris as the settlement administrator.

The Agreement further provides that any funds from settlement checks remaining uncashed after the void date (180 days after mailing) will be remitted to Mental Health America of California in accordance with Code of Civil Procedure section 384, which mandates that unclaimed or abandoned class members' funds be given to "nonprofit organizations or foundations to support projects that will benefit the class or similarly situated persons, or that promote the law consistent with the objectives and purposes of the underlying cause of action, to child advocacy programs, or to nonprofit organizations providing civil legal services to the indigent." The Court approves of the designated *cy pres* recipient.

In exchange for the settlement, the class members agree to release Defendant and related entities and persons "from all causes of action and factual or legal theories that were alleged in the Operative Complaint, or reasonably could have been alleged based on the facts contained in the Operative Complaint, arising during the Class Period[.]" (Agreement, ¶¶ I.HH, I.JJ.) Aggrieved Employees are deemed to release Defendant and related entities and persons "from all all claims for civil penalties under PAGA that were alleged in the PAGA Complaint, or reasonably could have been alleged based on the facts and legal theories of the PAGA Complaint and/or LWDA Notice, arising during the PAGA Period." (*Id.* at ¶¶ I.II, I.JJ.) The release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

B. Fairness of the Settlement

Plaintiffs contend that the Agreement meets the standards for preliminary approval and that the settlement is fair, reasonable, and adequate. (Motion, pp. 6-11.) Plaintiff's counsel states that the parties participated in mediation with Hon. Amy D. Hogue. (Mayer Decl., ¶ 8.) Prior to mediation, Plaintiff's counsel a thorough investigation on of the claims, including formal discovery. (*Id.* at ¶¶ 6, 25-26.) Plaintiff's counsel prepared for and defended the deposition of Plaintiff. (*Id.* at ¶ 26.) Plaintiff's counsel investigated the applicable law and Plaintiff's claims and Defendant's defenses and submits that the settlement is fair, reasonable, and adequate and in the best interest of the class and PAGA Members. (*Id.* at ¶¶ 27-30.)

The court has reviewed Plaintiff's written submissions and observes that the gross settlement amount of \$1,750,000 is a substantial sum. Nevertheless, the estimated size of the class (1,150) is significant, and the Class Period spans over six years. The Court observes that Plaintiff's counsel does not provide an estimate of the value of the class and PAGA claims as part of the analysis presented to the Court in support of Plaintiff's request for settlement approval. As explained by the court in *Kullar*,

[a]lthough there is usually an initial presumption of fairness when a proposed class settlement was negotiated at arm's length by counsel for the class, a trial court should not give rubber-stamp approval. Rather, to protect the interests of absent class members, the court must independently and objectively analyze the evidence and circumstances before it in order to determine whether the settlement is in the best interests of those whose claims will be extinguished. To make this determination, the factual record before the court must be sufficiently developed.

(*Kullar, supra*, 168 Cal.App.4th at p. 130.) "Our case law imposes strict fiduciary responsibilities on class representatives and class counsel to ensure the litigation proceeds in the best interests of all unnamed class members. [Citations.]" (*Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260, 273.) Where "the settling parties provide essentially no information to explain, much less to substantiate, their evaluation of the magnitude or potential merit of the claims being settled, objectors should not be denied access to data that reasonably may be expected shed light on these issues." (*Kullar, supra*, 168 Cal.App.4th at p. 133.) A court reviewing a proposed settlement should "place reliance on the competence and integrity

of counsel,” but “must also receive enough information about the nature and magnitude of the claims being settled, as well as the impediments to recovery, to make an independent assessment of the reasonableness of the terms to which parties have agreed.” (*Ibid.*)

Here, the Court requires additional information from Plaintiff’s counsel to make an independent assessment of reasonableness of the Agreement. In accordance with these principles outlined above, the motion shall be CONTINUED, and prior to the continued hearing, Plaintiff’s counsel shall provide a supplemental declaration containing information regarding the reasonableness of the settlement and the valuation of the claims for purposes of settlement.

C. Service Award, Fees and Costs

Plaintiff requests a service award of \$10,000. (Motion, p. 17:5-22.)

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These “incentive awards” to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.) Incentive awards are particularly appropriate where a plaintiff undertakes a significant reputational risk in bringing an action against an employer. (*Covillo v. Specialty’s Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29.)

Plaintiff has provided a declaration describing her participation in this action. It does not include an estimate of the number of hours she has spent working on this litigation. Prior to any final approval hearing, Plaintiff shall submit a supplemental declaration providing an estimate of the number of hours she has spent working on this action as well as any other facts she would like to consider regarding her service award request.

The court also has an independent right and responsibility to review the requested attorney fees and only award so much as it determines reasonable. (See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) Plaintiffs' counsel will seek attorney fees of up to 35 percent of the gross settlement amount (i.e., \$603,750). Prior to any final approval hearing, Plaintiffs' counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred and settlement administration costs.

D. Conditional Certification of Class

Plaintiff requests that the class be conditionally certified for purposes of the settlement. Rule 3.769(d) of the California Rules of Court states that “[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing.” California Code of Civil Procedure Section 382 authorizes certification of a class “when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court . . .” As interpreted by the California Supreme Court, section 382 requires: (1) an ascertainable class; and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326 (*Sav-On*).)

The “community-of-interest” requirement encompasses three factors: (1) predominant questions of law or fact; (2) class representatives with claims or defenses typical of the class; and, (3) class representatives who can adequately represent the class. (*Sav-On, supra*, 34 Cal.4th at p. 326.) “Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing.” (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.) The plaintiff has the burden of establishing that class treatment will yield “substantial benefits” to both “the litigants and to the court.” (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.) As explained by the California Supreme Court,

The certification question is essentially a procedural one that does not ask whether an action is legally or factually meritorious. A trial court ruling on a

certification motion determines whether the issues which may be jointly tried, when compared with those requiring separate adjudication, are so numerous or substantial that the maintenance of a class action would be advantageous to the judicial process and to the litigants.

(*Sav-On, supra*, 34 Cal.4th at p. 326, internal punctuation and citations omitted.)

Plaintiffs state there are approximately 1,150 class members, who can be identified from a review of Defendant's records. There are common questions regarding whether class members were subjected to common practices that violated wage and hour laws. No issue has been raised regarding the typicality or adequacy of Plaintiff as class representative. Therefore, the court finds that the proposed class may be conditionally certified for settlement purposes.

E. Class Notice

The content of a class notice is subject to court approval. "If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court." (Cal. Rules of Court, rule 3.769(f).) "The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement." (*Ibid.*) In determining the manner of the notice, the court must consider: "(1) The interests of the class; (2) The type of relief requested; (3) The stake of the individual class members; (4) The cost of notifying class members; (5) The resources of the parties; (6) The possible prejudice to class members who do not receive notice; and (7) The res judicata effect on class members." (Cal. Rules of Court, rule 3.766(e).)

Here, the form of the notice is generally adequate. It describes the lawsuit, explains the settlement, and states the settlement amounts, including attorney fees and payment to the named plaintiff. The notice informs class members that they may appear at the final fairness hearing to make an oral objection without filing a written objection.

However, section IV.B of the notice informs recipients that they must provide the last Social Security Number along with any request for exclusions, and section IV.C of the notice inform class members that they must provide the last four digits of their Social Security Number along with any written. These portions of the notice must be modified to remove the requirements of providing any portion of a Social Security Number.

Finally, the court requests that the following language regarding the final approval hearing be added to the notice:

Class members may appear at the final approval hearing in person or remotely using the Microsoft Teams link for Department 19 (Afternoon Session), and should review the remote appearance instructions beforehand:

https://www.scscourt.org/general_info/ra_teams/video_hearings_teams.shtml

Class members who wish to appear remotely are encouraged to contact class counsel at least three days before the hearing, if possible, so that potential technology or audibility issues can be avoided or minimized.

On the condition that the parties make the above changes to the notice prior to its mailing, the notice is approved.

IV. Conclusion

The motion for preliminary approval of the settlement is CONTINUED for further hearing on October 1, 2025 at 1:30 p.m. in Department 19.

At least 10 days prior to the continued hearing, Plaintiff's counsel shall provide a supplemental declaration further explaining the reasonableness of the settlement and the valuation of the claims.

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

Case Management Conference at 2:30 p.m. is VACATED.

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Calendar Line 2

Case Name: Cancino v. Cotton on USA Inc. (Class Action)
Case No.: 22CV405002

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on August 6, 2025, at 1:30 p.m. in Department 19. The Court now issues its tentative ruling as follows:

I. Introduction

This is a putative class and Private Attorneys General Act (“PAGA”) action. Plaintiffs Oscar Cancino and Marcos Mendiola (collectively, “Plaintiffs”) allege that Defendant Cotton on USA, Inc. (“Defendant”) committed various wage and hour violations.

According to the allegations of the operative Second Amended Complaint (“SAC”), Plaintiffs were formerly employed in hourly paid, non-exempt positions by Defendant, an Australian fast fashion retail company that operates retail clothing stores in numerous countries, including a number in California. (SAC, ¶ 12.) Mr. Cancino was employed as a Sales Associate at the Oxnard, California store from September 2021 through September 2022, and Mr. Mendiola was employed as a Key Holder from August 2023 through December 2023. (*Id.*, ¶¶ 4-5.)

Plaintiffs allege that Defendants failed to: pay all wages owed (including minimum and overtime wages); permit employees to take uninterrupted meal breaks or provide compensation in lieu of a compliant meal break; provide the rest periods to which employees were entitled, or provide compensation in lieu thereof; provide complete and accurate wage statements; maintain accurate and complete payroll records; pay all sick wages owed; timely pay wages owed; provide suitable seating for employees; and reimburse employees for necessary business expenses incurred by them.

Mr. Cancino initiated this action on October 20, 2022 and filed a first amended complaint in February 2023. Plaintiffs filed the operative SAC on January 16, 2025, pursuant to a stipulation and order so as to conform the pleadings with the scope of the settlement reached between the parties. The SAC asserts claims for: (1) unpaid overtime; (2) unpaid

minimum wages; (3) failure to provide meal periods; (4) failure to authorize and permit rest periods; (5) non-compliant wage statements and failure to maintain payroll records; (6) wages not timely paid upon termination; (7) failure to timely pay wages during employment; (8) unreimbursed business expenses; (9) civil penalties under PAGA; (10) unlawful business practices; and (11) unfair business practices.

The parties have reached a settlement. On February 10, 2025, the Court issued an order granting Plaintiffs' motion for preliminary approval of the settlement. Now before the court is Plaintiffs' unopposed motion for final approval of the settlement.

II. Legal Standard

A. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244-245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs’ case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of factors depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the “proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or

overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned.” (*Ibid.*, citation and internal quotation marks omitted.)

The burden is on the proponent of the settlement to show that it is fair and reasonable. However “a presumption of fairness exists where: (1) the settlement is reached through arm’s-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small.”

(*Wershba, supra*, 91 Cal.App.4th at p. 245, citation omitted.)

B. PAGA

Labor Code section 2699, subdivision (s)(2) provides that “[t]he superior court shall review and approve any settlement of any civil action filed pursuant to” PAGA. The court’s review “ensur[es] that any negotiated resolution is fair to those affected.” (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639.)

Like its review of class action settlements, the Court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) It must make this assessment “in view of PAGA’s purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 [“when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public”], quoting LWDA guidance discussed in *O’Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O’Connor*).)

The settlement must be reasonable considering the potential verdict value. (See *O'Connor, supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-cv-02198-EMC) 2016 WL 5907869, 2016 U.S. Dist. LEXIS 140759, at *20-24.)

III. Terms and Administration of Settlement

The non-reversionary gross settlement is \$2,150,000. Attorney's fees of up to \$716,667 (or one-third of the gross settlement), litigation costs of up to \$40,000 and administrative costs not to exceed \$35,000 will be paid from the gross settlement. \$25,000 will be allocated to PAGA penalties, 75% of which (\$18,500) will be paid to the LWDA, with the remaining 25% (\$6,250) dispensed, on a pro rata basis, to "PAGA Members," who are defined as "all persons who worked for Defendant as non-exempt, hourly paid retail employees, excluding Store Managers, in California at any time during the period from November 23, 2021 to August 26, 2024." Plaintiffs will seek class representative service payments of not more than \$10,000 each.

The net settlement amount- estimated to be \$1,313,333- will be allocated to members of the "Class," who are defined as "all persons who worked for Defendant as non-exempt, hourly paid retail employees, excluding Store Managers, in California at any time during the period from October 20, 2018 to August 26, 2024," on a pro rata basis based on the number of weeks worked during the aforementioned period. For tax purposes, settlement payments will be allocated 25% to wages and 75% to non-wages (i.e., interest and penalties). The employer-side payroll taxes will be paid by Defendant separate from, and in addition to, the gross settlement amount. Funds associated with checks uncashed after 180 days will be transmitted pursuant to Code of Civil Procedure section 384 to the Justice Gap Fund maintained by the State Bar of California.

In exchange for settlement, Class members who do not opt out will release:

[A]ll claims, rights, demands, liabilities, and causes of action alleged or which could reasonably have been alleged in the Action based on the same set of

operative facts alleged in the operative Complaint and Plaintiffs' letters to the LWDA. The Released Class Claims are those that accrued during the Class Period.

PAGA Members, who consistent with the statute will not be able to opt out of the PAGA portion of the settlement, will release:

[A]ll claims, rights, demands, liabilities, and causes of action for PAGA civil penalties under California Labor Code §§ 2698, et seq., alleged or which could reasonably have been alleged in the Action based on the same set of operative facts alleged in Plaintiffs' letters to the LWDA and the operative Complaint during the PAGA Period.

The foregoing releases are appropriately tailored to the allegations at issue.

(See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 537.)

In its order granting preliminary approval, the Court approved CPT as settlement administrator. On March 13, 2025, Defendant delivered class data to CPT. (Declaration of Regina Cutler ("Cutler Decl."), ¶ 3.) On March 24, 2025, CPT mailed class notices to the 5,275 class members. (*Id.* at ¶ 4.) As of the date of Ms. Cutler's declaration, July 14, 2025, CPT has deemed 19 notice packets undeliverable, and CPT has received no requests for exclusion or objections to the settlement. (*Id.* at ¶¶ 5-7.) CPT estimates the average settlement share will be approximately \$248.97. (*Id.* at ¶ 8.) The notice process has now been completed.

At preliminary approval, the court found the settlement to be fair and reasonable. Given that there are no objections, it finds no reason to deviate from that finding now. Accordingly, the court finds that the settlement is fair and reasonable for purposes of final approval.

IV. Enhancement Awards, Attorney Fees and Costs

Plaintiffs request enhancement awards of \$10,000 each).

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These "incentive awards" to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.)

Plaintiffs have submitted declarations describing their participation in this case. The court finds that service awards are justified, and the amounts requested are reasonable. Therefore, the service awards are approved in the amounts requested.

Plaintiffs' counsel seeks an attorney fee award of \$716,667 (one third of the gross settlement amount). (Motion, pp. 22:13 – 30:18; Declaration of Raul Perez, ¶ 20.) Plaintiffs' counsel submits that the lodestar of fees incurred in this action is \$381,452.50 based on a total of 468.1 hours billed at rates ranging from \$550-\$1,050 per hour. (*Ibid.*) This results in a multiplier of 1.88, which is within the range of multipliers that courts typically approve. (See *Wershba*, supra, 91 Cal.App.4th at p. 255 [“[m]ultipliers can range from 2 to 4 or even higher”]; *Vizcaino v. Microsoft Corp.* (9th Cir. 2002) 290 F.3d 1043, 1051, fn. 6 [stating that multipliers ranging from one to four are typical in common fund cases].)

The benefits achieved by the settlement justify an award of attorney fees to class counsel. The court finds that the requested attorney fee award is reasonable as a percentage of the common fund and approves an attorney fee award in the requested amount.

Plaintiffs' counsel requests reimbursement of litigation costs in the amount of \$29,343.31 and presents an itemized list supporting that figure. (Perez Decl., ¶ 25.) This is well under the \$40,000 maximum provided for in the settlement. The court finds the cost reimbursement request to be reasonable and therefore approves an award of litigation costs in the requested amount. The settlement administration costs are also approved in the requested amount of \$35,000. (See Cutler Decl., ¶ 10.)

V. Conclusion

The motion for final approval of the settlement is GRANTED.

Compliance hearing is set for April 1, 2026 at 2:30 p.m. in Department 19.

Plaintiffs shall prepare the order in accordance with California Rules of Court, rule 3.1312.

Case Management Conference at 2:30 p.m. is VACATED.

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Calendar Line 3

Case Name: Perez v. DGA Services, Inc. dba JIT Transportation (Class Action/PAGA)
Case No.: 23CV416653

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on August 6, 2025, at 1:30 p.m. in Department 19. The Court now issues its tentative ruling as follows:

I. Introduction

This is a class and representative action arising from alleged violations of wage and hour laws. On May 25, 2023, plaintiff Oscar Perez (“Perez”) filed a Class Action Complaint against defendant DGA Services, Inc. dba JIT Transportation (“Defendant”), alleging causes of action for: (1) Failure to Pay Minimum Wage; (2) Failure to Pay Overtime; (3) Failure to Provide Meal Breaks; (4) Failure to Provide Rest Breaks; (5) Failure to Pay All Wages Due and Owing at End of Employment; (6) Failure to Provide Accurate Itemized Wage Statements; and (7) Unlawful Business Practices.

On July 31, 2023, Perez filed a First Amended Class and Representative Action Complaint, which added an eighth cause of action under the Private Attorneys General Act (“PAGA”).

On May 1, 2024, Perez and plaintiff Yari Landaverde (“Landaverde”) (collectively, “Plaintiffs”) filed the operative Second Amended Class and Representative Action Complaint, which sets forth the following causes of action: (1) Failure to Pay Minimum Wage; (2) Failure to Pay Overtime; (3) Failure to Provide Meal Breaks; (4) Failure to Provide Rest Breaks; (5) Failure to Pay All Wages Due and Owing at End of Employment; (6) Failure to Provide Accurate Itemized Wage Statements; (7) Unlawful Business Practices; and (8) Private Attorneys General Act.

The parties have reached a settlement. On February 6, 2025, the Court issued an order granting Plaintiffs’ motion for preliminary approval of the settlement. Now before the Court is Plaintiffs’ unopposed motion for final approval of the settlement.

II. Legal Standard

A. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244-245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs’ case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of factors depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the “proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned.” (*Ibid.*, citation and internal quotation marks omitted.)

The burden is on the proponent of the settlement to show that it is fair and reasonable. However “a presumption of fairness exists where: (1) the settlement is reached through arm’s-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small.”

(*Wershba, supra*, 91 Cal.App.4th at p. 245, citation omitted.)

B. PAGA

Labor Code section 2699, subdivision (s)(2) provides that “[t]he superior court shall review and approve any settlement of any civil action filed pursuant to” PAGA. The court’s review “ensur[es] that any negotiated resolution is fair to those affected.” (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639.)

Like its review of class action settlements, the Court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) It must make this assessment “in view of PAGA’s purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 [“when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public”], quoting LWDA guidance discussed in *O’Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O’Connor*).)

The settlement must be reasonable considering the potential verdict value. (See *O’Connor, supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-cv-02198-EMC) 2016 WL 5907869, 2016 U.S. Dist. LEXIS 140759, at *20-24.)

III. Terms and Administration of Settlement

The proposed settlement provides that this action has been settled on behalf of the following class:

all current and former Truck Drivers who worked for Defendant from May 25, 2019, through the date of execution of this Agreement [(i.e., April 17, 2024)] who have not previously released their claims against Defendant and/or accepted payments in exchange for release of their claims against Defendant.

The settlement also provides that the action has been settled on behalf of the following aggrieved employees: “any Truck Drivers employed by Defendant in California who worked for Defendant during the PAGA Period.” The “PAGA Period” is defined as the period of time from May 27, 2022, to the date of execution of the agreement (i.e., April 17, 2024).

Defendant will pay a non-reversionary, gross settlement amount of \$55,000. The gross settlement amount includes attorney fees of \$11,000 (20 percent of the gross settlement amount), litigation costs not to exceed \$16,000, a service award in the total amount of \$3,000 (\$2,000 for Perez and \$1,000 for Landaverde), settlement administration costs not to exceed \$5,500, and a PAGA allocation of \$1,000 (75 percent of which will be paid to the LWDA and 25 percent of which will be paid to Aggrieved Employees).

The net settlement amount will be distributed to the class members on a pro rata basis based on the number of workweeks worked during the Class Period. Similarly, Aggrieved Employees will receive a pro rata share of the 25 percent portion of the PAGA payment allocated to them based on the number of workweeks worked during the PAGA Period.

In exchange for the settlement, class members agree to release Defendant, and related persons and entities, from “all claims that were alleged, or reasonably could have been alleged, based on the Class Period facts stated in the Operative Complaint [...]” Aggrieved Employees agree to release Defendant, and related persons and entities, from “all claims for PAGA penalties that were alleged, or reasonably could have been alleged, based on the PAGA Period acts stated in the Operative Complaint, and PAGA Notices.”

In its order granting preliminary approval, the Court approved Atticus as settlement administrator. On February 13, 2025, Defendant delivered class data to Atticus. (Declaration of Bryn Bridley (“Bridely Decl.”), ¶ 4.) On February 24, 2025 Atticus mailed class notices to 126 class members and aggrieved employees. (*Id.* at ¶ 6.) The deadline to submit a written objection, submit a workweek dispute, or opt out of the settlement was April 10, 2025. As of June 27, 2025, Atticus has not received any written objections, workweek disputes, or opt-out

requests. (*Id.* at ¶ 9.) Atticus estimates the average settlement share will be approximately \$264.29. (*Id.* at ¶ 13.) The notice process has now been completed.

At preliminary approval, the court found the settlement to be fair and reasonable. Given that there are no objections, it finds no reason to deviate from that finding now. Accordingly, the court finds that the settlement is fair and reasonable for purposes of final approval.

IV. Enhancement Awards, Attorney Fees and Costs

Plaintiffs seek service payments of \$3,000 total.

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These “incentive awards” to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.)

Plaintiffs have submitted declarations describing their participation in this case. The court finds that service awards are justified, and the amounts requested are reasonable. Therefore, the service awards are approved in the amounts requested.

Plaintiffs’ counsel seeks an attorney fee award of \$11,000 (20 percent of the gross settlement amount). (Motion, pp. 16; Declaration of Vladimir J. Kozina, ¶¶ 55 -56.) Plaintiffs’ counsel submits that the lodestar of fees incurred in this action is \$192,970.50 based on a total of 219.95 hours billed at rates ranging from \$150-\$878 per hour. (Kozina Decl., ¶ 62.) This results in a negative multiplier, suggesting the requested fee award is reasonable based on the range of multipliers that courts typically approve. (See *Wershba*, supra, 91 Cal.App.4th at p. 255 [“[m]ultipliers can range from 2 to 4 or even higher”]; *Vizcaino v. Microsoft Corp.* (9th Cir. 2002) 290 F.3d 1043, 1051, fn. 6 [stating that multipliers ranging from one to four are typical in common fund cases].)

The benefits achieved by the settlement justify an award of attorney fees to class counsel. The Court finds that the requested attorney fee award is reasonable as a percentage of the common fund and approves an attorney fee award in the requested amount.

Plaintiffs' counsel requests reimbursement of litigation costs in the amount of \$15,961,70 and presents an itemized list supporting that figure. (Kozina Decl., ¶ 66 and Ex. 4.) The Court finds the cost reimbursement request to be reasonable and therefore approves an award of litigation costs in the requested amount. The settlement administration costs are also approved in the requested amount of \$5,500. (See Bridley Decl., ¶ 14.)

V. Conclusion

The motion for final approval of the settlement is GRANTED.

Compliance hearing is for April 1, 2026 at 2:30 p.m. in Department 19.

Plaintiffs shall prepare the order in accordance with California Rules of Court, rule 3.1312.

Case Management Conference at 2:30 p.m. is VACATED.

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Calendar Line 4

Case Name: Valdez v. HSSG Inc., et al. (Class Action)
Case No.: 24CV435535

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on August 6, 2025, at 1:30 p.m. in Department 19. The Court now issues its tentative ruling as follows:

I. Introduction

This is a putative class and representative action arising from alleged violations of wage and hour laws. On April 18, 2024, plaintiff Jose de Jesus Lopez Valdez began this action by filing a Class Action Complaint against defendants HSSG Inc., Hatcheri LLC, Hatcheri Foods Inc., and Hatcheri Food Platform SPV, LP (collectively, “Defendants”). On June 13, 2024, Plaintiff filed the operative First Amended Complaint, asserting causes of action for: (1) failure to pay overtime wages; (2) failure to pay minimum wages; (3) failure to pay all hours worked; (4) meal period violations; (5) rest period violations; (6) wage statement violations; (7) failure to reimburse expenses; (8) failure to pay final wages; (9) unfair competition; and (10) Private Attorneys General Act (“PAGA”).

The parties have reached a settlement, and Plaintiff now moves for preliminary approval of the settlement. The motion is unopposed.

II. Legal Standard for Settlement Agreements

A. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244-245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of factors depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the "proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." (*Ibid.*, citation and internal quotation marks omitted.)

The burden is on the proponent of the settlement to show that it is fair and reasonable. However, "a presumption of fairness exists where: (1) the settlement is reached through arm's-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small." (*Wershba, supra*, 91 Cal.App.4th at p. 245, citation omitted.)

B. PAGA

Labor Code section 2699, subdivision (1)(2) provides that "[t]he superior court shall review and approve any settlement of any civil action filed pursuant to" PAGA. The court's review "ensur[es] that any negotiated resolution is fair to those affected." (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639.)

Like its review of class action settlements, the Court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) It must make this assessment “in view of PAGA’s purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 [“when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public”], quoting LWDA guidance discussed in *O’Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O’Connor*).)

The settlement must be reasonable considering the potential verdict value. (See *O’Connor, supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-cv-02198-EMC) 2016 WL 5907869, 2016 U.S. Dist. LEXIS 140759, at *20-24.)

II. Discussion

A. Provisions of the Settlement

This case has been settled on behalf of the following class:

[A]ll non-exempt employees who worked or continue to work for HSSG in California at any time between April 18, 2020 up to the Preliminary Approval Date.

(See Exhibit List and Exhibits in Support of Plaintiff’s Motion for Preliminary Approval of Class Action and PAGA Settlement, Ex. A (“Agreement”), ¶ 1.5.) The settlement includes a subset PAGA class of Aggrieved Employees, defined as: “all non-exempt employees who worked or continue to work for HSSG in California at any time between June 13, 2023 up to the Preliminary Approval Date.” (*Id.* at ¶ 1.2.)

Defendant will pay a gross settlement amount of \$225,000. This amount includes attorney fees of up to one-third of the gross settlement amount (i.e., \$74,250); litigation costs not to exceed \$12,000; a PAGA allocation of \$10,000 (75 percent of which will be paid to the LWDA and 25 percent of which will be paid to PAGA Employees as individual PAGA payments); a service payment of up to \$10,000; and settlement administration costs up to \$7,000. The net settlement amount will be distributed to participating class members on a pro-rata basis according to the number of workweeks they were employed by Defendant. Individual PAGA payments will be distributed according to the number of pay periods worked. The parties proposed ILYM Group, Inc. (“ILYM”) as the neutral entity appointed to administer the settlement. The court approves and appoints ILYM as the settlement administrator.

The Agreement further provides that any funds from settlement checks remaining uncashed after the void date (180 days after mailing) shall be donated in equal parts to the Capital Pro Bono, Inc., and the Center for Workers’ Rights as the designated *cy pres* recipients, in compliance with Code of Civil Procedure section 384, which mandates that unclaimed or abandoned class members’ funds be given to “nonprofit organizations or foundations to support projects that will benefit the class or similarly situated persons, or that promote the law consistent with the objectives and purposes of the underlying cause of action, to child advocacy programs, or to nonprofit organizations providing civil legal services to the indigent.” The Court approves of the *cy pres* designations.

In exchange for the settlement, the class members agree to release Defendant and related entities and persons “from all class claims that are alleged in the operative Complaint, and any additional wage and hour claims that could have been brought based on the facts alleged in the Complaint, through the Class Period.” (Agreement, ¶¶ 1.30, 1.32.) Aggrieved Employees are deemed to release Defendant and related entities and persons “from all claims that were brought under the PAGA, Labor Code §§ 2698, et seq. in the operative Complaint, contained in Plaintiff’s notice letter to the LWDA, and any additional wage and hour PAGA claims that could have been brought based on the facts alleged in Plaintiffs notice letter to the LWDA and the operative Complaint during the PAGA Claim Period.” (*Id.* at ¶¶ 1.31, 1.32.)

The release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

B. Fairness of the Settlement

Plaintiff contends that the Agreement warrants preliminary approval because it is fair, reasonable, and adequate. (Motion, pp. 7-14.) Plaintiffs' counsel states that the parties participated in mediation with Russ J. Wunderli on December 6, 2024. (Shimoda Decl., ¶ 9.) Prior to mediation, Plaintiff's counsel reviewed a substantial number of documents and informal discovery during the investigation of the claims, including a 20% representative sampling of employee data. (*Id.* at ¶¶ 6, 8.) Defendants contended that financial restraints impacted their ability to pay any settlement beyond the gross settlement amount, and Plaintiff's counsel reviewed Defendant's financial records to verify this claim. (*Id.* at ¶ 7.)

Plaintiff's counsel provides a detailed analysis of the valuation of the claims and the reductions applied for purposes of settlement. (Shimoda Decl., ¶ 10.) Based on the investigation of Plaintiff's counsel, there were approximately 185 Class Members who worked 8,418 weeks in the Class Period, 118 Aggrieved Employees who worked 2,471 pay periods during the PAGA Claim Period, an average base hourly rate of approximately \$20.41, and an average overtime rate of approximately \$30.62. (*Id.* at ¶ 10.) Based on the analysis by Plaintiff's counsel, the gross settlement amount of \$225,000 represents approximately 5.8% of the maximum value of all claims in this matter (\$3,822,837.66) and between 16% and 52% of the more realistic range of recovery (\$432,692.31 to \$1,406,250.00). (*Id.* at ¶ 11.) Therefore, the proposed settlement amount is within the general range of percentage recoveries that California courts have found to be reasonable. (See *Cavazos v. Salas Concrete, Inc.* (E.D. Cal., Feb 18, 2022, No. 1:19-cv-00062-DAD-EPG) 2022 U.S. Dist. LEXIS 30201, at *41-42 [citing cases approving settlements in the range of 5 to 35 percent of the maximum potential exposure].)

The court has reviewed Plaintiff's written submissions and is satisfied that the settlement is fair and may be approved.

C. Service Award, Fees and Costs

Plaintiff requests a service award of \$10,000. (Motion, p. 15.)

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These “incentive awards” to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.) Incentive awards are particularly appropriate where a plaintiff undertakes a significant reputational risk in bringing an action against an employer. (*Covillo v. Specialty’s Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29.)

Plaintiff has provided a declaration describing his participation in this action, and he estimates he has spent approximately 80-100 hours assisting his attorneys litigating this case. The Court will make a determination regarding the approved service award at the final approval hearing.

The Court also has an independent right and responsibility to review the requested attorney fees and only award so much as it determines reasonable. (See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) Plaintiff’s counsel will seek attorney fees of up to one-third of the gross settlement amount (i.e., \$74,250). Prior to the final approval hearing, Plaintiff’s counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred and settlement administration costs.

D. Conditional Certification of Class

Plaintiff requests that the class be conditionally certified for purposes of the settlement. Rule 3.769(d) of the California Rules of Court states that “[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary

settlement hearing.” California Code of Civil Procedure Section 382 authorizes certification of a class “when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court . . .” As interpreted by the California Supreme Court, section 382 requires: (1) an ascertainable class; and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326 (*Sav-On*).)

The “community-of-interest” requirement encompasses three factors: (1) predominant questions of law or fact; (2) class representatives with claims or defenses typical of the class; and, (3) class representatives who can adequately represent the class. (*Sav-On, supra*, 34 Cal.4th at p. 326.) “Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing.” (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.) The plaintiff has the burden of establishing that class treatment will yield “substantial benefits” to both “the litigants and to the court.” (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.) As explained by the California Supreme Court,

The certification question is essentially a procedural one that does not ask whether an action is legally or factually meritorious. A trial court ruling on a certification motion determines whether the issues which may be jointly tried, when compared with those requiring separate adjudication, are so numerous or substantial that the maintenance of a class action would be advantageous to the judicial process and to the litigants.

(*Sav-On, supra*, 34 Cal.4th at p. 326, internal punctuation and citations omitted.)

Plaintiffs state there are approximately 185 class members, who can be identified from a review of Defendant’s records. There are common questions regarding whether class members were subjected to common practices that violated wage and hour laws. No issue has been raised regarding the typicality or adequacy of Plaintiff as class representative. Therefore, the court finds that the proposed class should be conditionally certified for settlement purposes.

E. Class Notice

The content of a class notice is subject to court approval. “If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court.” (Cal. Rules of Court, rule 3.769(f).) “The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.” (*Ibid.*) In determining the manner of the notice, the court must consider: “(1) The interests of the class; (2) The type of relief requested; (3) The stake of the individual class members; (4) The cost of notifying class members; (5) The resources of the parties; (6) The possible prejudice to class members who do not receive notice; and (7) The res judicata effect on class members.” (Cal. Rules of Court, rule 3.766(e).)

Here, the form of the notice is generally adequate. It describes the lawsuit, explains the settlement, and states the settlement amounts, including attorney fees and payment to the named plaintiff. The notice informs class members that they may appear at the final fairness hearing to make an oral objection without filing a written objection.

However, the following language regarding the final approval hearing shall be added to the notice prior to its mailing:

Class members may appear at the final approval hearing in person or remotely using the Microsoft Teams link for Department 19 (Afternoon Session), and should review the remote appearance instructions beforehand:

https://www.scscourt.org/general_info/ra_teams/video_hearings_teams.shtml

Class members who wish to appear remotely are encouraged to contact class counsel at least three days before the hearing, if possible, so that potential technology or audibility issues can be avoided or minimized.

On the condition that the parties make the above addition to the notice prior to its mailing, the notice is approved.

IV. Conclusion

The motion for preliminary approval of the settlement is GRANTED.

The final approval hearing is set for February 18, 2026 at 1:30 p.m. in Department 19.

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

Case Management Conference at 2:30 p.m. is VACATED.

Calendar Line 5

Case Name: Strawbuck v. Equity Lifestyle Properties
Case No.: 22CV398628

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on August 6, 2025, at 1:30 p.m. in Department 19. The Court now issues its tentative ruling as follows:

I. Introduction

This is a representative action arising from alleged violations of wage and hour laws. On May 26, 2022, plaintiff Kristin Strawbuck filed a Class Action Complaint against defendant Equity LifeStyle Properties, Inc. (“ELS”). On August 3, 2022, Plaintiff filed a First Amended Class and Representative Action Complaint. On January 8, 2025, Plaintiff filed the operative Second Amended Representative Action Complaint against defendants ELS and MHC Property Management, L.P. (“MHC”) (collectively, “Defendants”), setting forth a sole cause of action for civil penalties under the Private Attorneys General Act (“PAGA”).

The parties have reached a settlement. Plaintiff now moves for approval of the settlement, and the motion is unopposed. The Court continued the motion from July 30 for further hearing for counsel to provide a copy of Plaintiff’s separate settlement agreement, and counsel has done so. As discussed below, the Court has reviewed the written submissions and is satisfied that the motion may be GRANTED.

II. Legal Standard

Under PAGA, an aggrieved employee may bring a civil action personally and on behalf of other current or former employees to recover civil penalties for Labor Code violations. (*Iskanian v. CLS Transp. Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639 [2022 U.S. LEXIS 2940].) Seventy-five percent of any penalties recovered go to the Labor and Workforce Development Agency (“LWDA”), leaving the remaining 25 percent for the employees. (*Ibid.*) PAGA is intended “to augment the limited enforcement capability of [the LWDA] by

empowering employees to enforce the Labor Code as representatives of the Agency.” (*Id.* at p. 383.) A judgment in a PAGA action binds all those, including nonparty aggrieved employees, who would be bound by a judgment in an action brought by the government. (*Id.* at p. 381.)

A superior court must review and approve any PAGA settlement. (Lab. Code, § 2699, subd. (1)(2).) The court’s review “ensur[es] that any negotiated resolution is fair to those affected.” (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) The proposed settlement must be submitted to the LWDA at the same time it is submitted to the court. (*Ibid.*)

As discussed by one court:

PAGA does not establish a clear standard for evaluating PAGA settlements. ...

¶

Accordingly, certain courts have been willing to approve PAGA settlements only if (1) the statutory requirements set forth by PAGA have been satisfied, and (2) the settlement agreement is fair, reasonable, and adequate in view of PAGA’s public policy goals.

(*Patel v. Nike Retail Services, Inc.* (N.D. Cal. 2019) 2019 WL 2029061, 2019 U.S. Dist. LEXIS 77988 (*Patel*), at *5.)

As part of this analysis, these courts have evaluated proposed PAGA settlements under the relevant factors from *Hanlon v. Chrysler Corp.* (9th Cir. 1998) 150 F.3d 1011, 1026. (*Patel, supra*, 2019 U.S. Dist. LEXIS 77988 at *5-6.) “Of the *Hanlon* factors, the following are relevant to evaluating [a] PAGA settlement: (1) the strength of the plaintiff’s case; (2) the risk, expense, complexity, and likely duration of further litigation; (3) the amount offered in settlement; (4) the extent of discovery completed and the stage of the proceedings; (5) the presence of government participation; and (6) the expertise and views of counsel.” (*Ibid.*)

Similar to its review of class action settlements, the Court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76–77.) It must make this assessment “in view of PAGA’s purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (*Id.* at p. 77; see also *Haralson, supra*, 383 F. Supp. 3d at p. 971 [“when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public”],

quoting LWDA guidance discussed in *O'Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O'Connor*).)

“[W]hen a PAGA claim is settled, the relief provided ... [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public” (*O'Connor*, *supra* at p. 1133.) The settlement must be reasonable in light of the potential verdict value. (*Id.* at 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-CV-02198-EMC) 2016 WL 5907869, 2016 U.S. Dist. LEXIS 140759 at *8-9.)

III. Discussion

Plaintiff moves for approval of a proposed settlement made on behalf of “PAGA Settlement Members,” defined as follows:

[A]ll current and former non-exempt employees of MHC who worked in California during the PAGA Period [May 30, 2021 through the date on which the Court enters an Order of Approval].

(See Declaration of H. Scott Leviant (“Leviant Decl.”), Ex. 1 (“Agreement”), ¶¶ II.A.14, II.A.15.)

Defendant will pay a non-reversionary settlement amount of \$295,000. This amount includes attorney fees up to one-third of the settlement amount (i.e., \$98,333.33), litigation costs not to exceed \$26,000, settlement administration costs up to \$7,000, and a PAGA Penalty Amount of \$165,521.10, 75 percent of which (\$124,140.82) will be paid to the LWDA and 25 percent of which (\$41,380.27) will be distributed to PAGA Settlement Members on a pro-rata basis. Funds from checks that are not cashed within 180 days from the date of mailing will be sent to the Controller of the State of California to be held pursuant to the Unclaimed Property Law. (See Leviant Decl., ¶ 16.)

In exchange for the settlement, PAGA Settlement Members will be deemed to release the Defendants and related people and entities from:

[A]ny and all PAGA-based claims for civil penalties that all claims that arise out of or are related to the PAGA claims set forth in the PAGA Notice, The claims released also include any other relief potentially recoverable under PAGA based on the claims and allegations made or which could have been made in the Lawsuit during the PAGA Period, based on Plaintiff's PAGA Notice.

(Agreement, ¶¶ II.A.18, II.A.19, II.C.5.) The PAGA release provision is appropriately tailored to the facts alleged. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

Plaintiff also executed a separate "general release" of all claims against Defendants on January 6, 2025, in exchange for a payment of \$15,000. (See Agreement, ¶¶ II.A.6, II.C.5.b.) The Agreement references the "general release" of all claims by Plaintiff in relation to the request for attorney fees and costs. (*Id.* at ¶ II.C.2.) Plaintiff's counsel does not address the separate "general release" in his declaration, nor is it discussed in Plaintiff's motion. The Court finds that it must review the terms of Plaintiff's separate individual settlement agreement before it can issue a determination regarding the fairness of the settlement and the attorney fees and costs requests.

The matter had been continued from July 30 for further hearing for counsel to provide a copy of Plaintiff's separate settlement agreement, and counsel has done so. The Court has reviewed the separate settlement as well as Plaintiff's other written submissions and is satisfied that the motion for PAGA settlement approval may be GRANTED.

IV. Conclusion

The motion for approval of PAGA settlement is GRANTED.

A compliance hearing is set for April 1, 2026 at 2:30 p.m. in Department 19.

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

Case Management Conference at 2:30 p.m. is VACATED.

Calendar Line 6

Case Name: Zermeno v. FRC Balance LLC dba True Food Kitchen (Class Action)
Case No.: 24CV438842

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on July 30, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. Introduction

This is a putative class action arising from alleged violations of wage and hour laws. On May 13, 2024, plaintiff Jacqueline Zermeno began this action by filing a Class Action Complaint against defendant FRC Balance LLC dba True Food Kitchen (“Defendant”). On September 4, 2024, Plaintiff filed the operative First Amended Complaint (“FAC”), asserting the following causes of action: (1) failure to compensate for all hours worked; (2) failure to provide meal and rest periods; (3) failure to pay final wages on time; (4) failure to maintain accurate records; (5) failure to furnish wage and hour statements; (6) wrongful termination in violation of public policy; (7) discrimination and harassment; (8) failure to prevent and investigate discrimination and harassment; (9) failure to provide reasonable accommodation; (10) failure to engage in interactive process; (11) violation of California Family Rights Act (“CFRA”)/ Family Medical Leave Act (“FMLA”) rights; (12) intentional infliction of emotional distress; (13) unfair business practices; (14) violation of Private Attorneys General Act (“PAGA”).

According to the FAC’s allegations, Plaintiff began her employment with Defendant in early 2017 by working fulltime as a bartender. (FAC, ¶13.) In November 2023, Plaintiff requested all or more most of the December 2023 off from work to go to Mexico with her family, but her request was not approved. (*Id.* at ¶¶ 15-17.) Plaintiff left for her vacation, and when she came back to work she was alerted that she was being suspended. (*Id.* at ¶¶ 21-22.) Plaintiff’s last full day of work was November 24, 2023, and she received verbal notice of termination on January 5, 2024. (*Id.* at ¶ 25.) Plaintiff alleges, among other things, that she and

putative class members were not consistently authorized or permitted to take meal and rest breaks and did not receive applicable premiums in lieu thereof. (*Id.* at ¶¶ 26-29.)

Now before the Court is Defendant’s motion to compel arbitration, dismiss class claims, dismiss or stay representative PAGA claims, and stay proceedings. The Court previously continued this hearing from July 30 for counsel to provide certain missing exhibits, and counsel has done so. The Court has reviewed papers, and for the reasons discussed below, DENIES the motion to compel arbitration.

II. Legal Standard

In ruling on a motion to compel arbitration, the Court must inquire as to (1) whether there is a valid agreement to arbitrate, and (2) if so, whether the scope of the agreement covers the claims alleged. (See *Howsan v. Dean Witter Reynolds* (2002) 537 U.S. 79, 84.) “Under both federal and state law, the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate. [Citations.] The threshold question requires a response because if such an agreement exists, then the court is statutorily required to order the matter to arbitration.” (*Fleming v. Oliphant Financial, LLC* (2023) 88 Cal.App.5th 13, 19, internal quotation marks omitted.) The agreement at issue expressly provides that it is governed by the Federal Arbitration Act.

“The FAA [Federal Arbitration Act], which includes both procedural and substantive provisions, governs [arbitration] agreements involving interstate commerce.” (*Avila v. Southern California Specialty Care, Inc.* (2018) 20 Cal.App.5th 835, 840.) However, “[t]he procedural aspects of the FAA do not apply in state court absent an express provision in the arbitration agreement.” (*Ibid.*) Here, the agreement expressly provides that it “shall be governed by” the FAA. (See *Rodriguez v. American Technologies, Inc.* (2006) 136 Cal.App.4th 1110, 1122 “[t]he phrase ‘pursuant to the FAA’ is broad and unconditional,” and unambiguously adopts both the procedural and substantive aspects of the FAA.)

Under the FAA, the court must grant a motion to compel arbitration if any suit is brought upon “any issue referable to arbitration under an agreement for such arbitration” (9 U.S.C. § 3), subject to “such grounds as exist at law or in equity for the revocation of any

contract...” (9 U.S.C. § 2). The moving party must prove by a preponderance of evidence the existence of the arbitration agreement and that the dispute is covered by the agreement. (See *Cruise v. Kroger Co.* (2015) 233 Cal.App.4th 390, 396 [under both federal and state law, “the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate”]; *Rosenthal v. Great Western Fin’l Securities Corp.* (1996) 14 Cal.4th 394, 413 (*Rosenthal*) [moving party’s burden is a preponderance of evidence].) A moving party can meet their initial burden by showing that an agreement to arbitrate the dispute exists. (*Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060 (*Espejo*).) The burden then shifts to the resisting party to prove a ground for denial. (*Rosenthal, supra*, 14 Cal.4th at p. 413.)

“In determining the rights of parties to enforce an arbitration agreement within the FAA’s scope, courts apply state contract law while giving due regard to the federal policy favoring arbitration.” (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236.)

But the FAA’s policy favoring arbitration ... is merely an acknowledgment of the FAA’s commitment to overrule the judiciary’s longstanding refusal to enforce agreements to arbitrate and to place such agreements upon the same footing as other contracts. Or in another formulation: The policy is to make arbitration agreements as enforceable as other contracts, but not more so. Accordingly, a court must hold a party to its arbitration contract just as the court would to any other kind.

(*Morgan v. Sundance, Inc.* (2022) 596 U.S. 411 (*Morgan*), internal citations and quotation marks omitted; see also *Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 569 [“California policy, like federal policy, puts arbitration agreements on equal footing with other types of contracts”].)

III. Discussion

A. Existence of Agreement to Arbitrate

The moving party bears the burden of proving the existence of an agreement arbitrate by a preponderance of the evidence. As one Court of Appeal summarized,

[T]he moving party bears the burden of producing “prima facie evidence of a written agreement to arbitrate the controversy.” (*Rosenthal, supra*, 14 Cal.4th at p. 413.) The moving party “can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party’s] signature.” (*Bannister v. Marinidence Opco, LLC* (2021) 64 Cal.App.5th 541, 543–544 [279 Cal. Rptr. 3d 112] (*Bannister*).) Alternatively, the moving party can meet its burden by setting forth the agreement’s provisions in the motion. (*Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 219 [105 Cal. Rptr. 2d 597] (*Condee*); see also Cal. Rules of Court, rule 3.1330 [“The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference.”].) For this step, “it is not necessary to follow the normal procedures of document authentication.” (*Condee*, at p. 218.) If the moving party meets its initial prima facie burden and the opposing party does not dispute the existence of the arbitration agreement, then nothing more is required for the moving party to meet its burden of persuasion.

If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement. (See *Condee, supra*, 88 Cal.App.4th at p. 219.) The opposing party can do this in several ways. For example, the opposing party may testify under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement. [Citations.]

If the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties. The burden of proving the agreement by a preponderance of the evidence remains with the moving party. (*Rosenthal, supra*, 14 Cal.4th at p. 413.)

(*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165–166.)

To establish the existence of an agreement to arbitrate, Defendant submits the declaration of Katherine Scheopner, who currently holds the position of Senior People Business Partner for Defendant. (See Defendant’s Memorandum of Points and Authorities (“MPA”), pp. 1:16 – 4:4; see also Declaration Katherine Scheopner, (“Scheopner Decl.”), ¶ 1.) According to Defendant’s personnel records, Defendant hired Plaintiff on April 13, 2017, as a bartender at its Palo Alto location. (Scheopner Decl. at ¶ 4.) As part of Plaintiff’s post-offer onboarding process, True Food presented Plaintiff with a stand-alone document titled Arbitration Agreement (the “Agreement”). (*Id.* at ¶ 4 and Ex. 1.) Plaintiff signed and dated the

Agreement by hand on April 13, 2017. (*Ibid.*) The Agreement states that Defendant and Plaintiff “agree that any claim or controversy arising from, or relating in any way to, [Plaintiff’s] employment relationship ... shall be submitted to, and shall be resolved through, final and binding arbitration” (*Ibid.*)

The copy of the Agreement submitted with Ms. Scheopner’s declaration bears Plaintiff’s signature. By producing a signed copy of the Agreement, Defendant has established the existence of an agreement to arbitrate between itself and Plaintiff. Therefore, Defendant has met its initial burden by submitting prima facie evidence of a written agreement to arbitrate the claims asserted in the action. (*Espejo, supra*, 246 Cal.App.4th at p. 1060 [a defendant may meet their initial burden “by attaching a copy of the arbitration agreement purportedly bearing the opposing party’s signature”].)

Plaintiff initially contends that the Court should deny the motion because Defendant did not carry its burden of proving a valid arbitration agreement. (Plaintiff’s Opposition to Defendant’s Motion Compel Arbitration (“Opposition”), pp. 6:22 – 7:21.) Plaintiff argues that Defendant failed to provide a declaration from a witness to the alleged signing of the Agreement in 2017. Plaintiff also submits her declaration in which she states she recalls being presented with a stack of new-hire paperwork that she was told she needed to sign.¹ (Declaration of Jacqueline Zermeno (“Zermeno Decl.”), ¶ 3.)

Plaintiff further states that she does not recall a document titled “Arbitration Agreement” or that anyone explained or mentioned such a document to her, and she has no memory of signing the Agreement included in Defendant’s motion. (Zermeno Decl., ¶ 4.) Plaintiff asserts that her lack of recollection puts the existence of the Agreement “in issue,” relying upon *Ruiz v. Moss Bros. Auto Group, Inc.*, (2014) 232 Cal.App.4th 836 (*Ruiz*). In *Ruiz*, the trial and appellate courts both concluded that the defendant did not prove by a preponderance of the evidence the plaintiff was the person who electronically signed the agreement at issue. (*Id.* at p. 842.) The appellate court emphasized that the defendant never explained how the plaintiff’s printed electronic signature came to be placed on the arbitration

¹ Defendant’s evidentiary objections to the Declaration of Jacqueline Zermeno are OVERRULED.

agreement, nor did the defendant explain how it ascertained that the electronic signature on the agreement was the act of the plaintiff. (*Id.* at p. 844.)

In reply, Defendant argues that it properly authenticated the Agreement and that Plaintiff does not dispute her signature. (Reply, pp. 1:23 – 3:3.) Relying upon *Espejo, supra*, 246 Cal.App.4th 1047, and *Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747 (*Iyere*), Defendant argues that Plaintiff's asserted lack of recollection regarding her signature on the Agreement does not create a factual dispute as to whether the signature is authentic.

Here, the Court finds that Defendant has produced sufficient evidence to establish the existence of an agreement to arbitrate. While Plaintiff relies primarily upon *Ruiz* in asserting that the Agreement has not been authenticated, in that case, the signature in question was a printed electronic signature. (*Ruiz, supra*, 232 Cal.App.4th at pp. 843-844.) As the *Iyere* court explained, different evidence is required to authenticate an electronic signature:

While handwritten and electronic signatures once authenticated have the same legal effect, there is a considerable difference between the evidence needed to authenticate the two. Authenticating an electronic signature if challenged can be quite daunting. An individual cannot affirm or disavow an electronic signature from the face of a computer printout, but an individual normally can recognize or disavow a handwritten signature that purports to be his or her own. If a party confronted with his or her handwritten signature on an arbitration agreement is unable to allege that the signature is inauthentic or forged, the fact that that person does not recall signing the agreement neither creates a factual dispute as to the signature's authenticity nor affords an independent basis to find that a contract was not formed.

(*Iyere, supra*, 87 Cal.App.5th at p. 758, internal citations omitted.) Although Plaintiff asserts that she does not recall signing the Agreement, she does not assert that she did not sign the Agreement, nor that the hand-written signature appearing in her name on the Agreement is not in her handwriting.

Furthermore, even if Plaintiff's lack of recollection was sufficient to shift the burden of production back to Defendant, Ms. Scheopner's declaration identifies the Agreement as being the document presented to Plaintiff at the time of her hiring and kept among Defendant's records in the regular course of its business. Plaintiff did not object to Ms. Scheopner's attestation that the document attached as Exhibit 1 to her declaration was a true and correct copy of the Agreement, nor did they object to the

receipt of the document into evidence. Plaintiff admits to being handed a set of documents to sign at the time of her hiring, and “[i]t is hornbook law that failing to read an agreement before signing it does not prevent formation of a contract. [Citation.]” (*Iyere, supra*, 87 Cal.App.5th at p. 759.)

Accordingly, the Court finds that Defendant has met its burden of establishing the existence of agreement to arbitration by a preponderance of the evidence.

B. Unconscionability

Plaintiff contends the Arbitration Agreement is both procedurally and substantively unconscionable and that it cannot be redeemed by severance. (Opposition, pp. 7:22 – 10:4.) A showing that an arbitration agreement is unconscionable can bar its enforcement. (*Diaz v. Sohnen Enterprises* (2019) 34 Cal.App.5th 126, 132 (*Diaz*).) “The doctrine has both a procedural and substantive element, the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results. Both elements must be present for a court to refuse enforcement.” (*Ibid.*, internal quotation marks and citations omitted.)

The procedural element addresses the circumstances of contract negotiation and formation, focusing on oppression or surprise due to unequal bargaining power. [Citations.] Substantive unconscionability pertains to the fairness of an agreement's actual terms and to assessments of whether they are overly harsh or one-sided.

(*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 125 (*OTO*), quoting and citing *Pinnacle, supra*, 55 Cal.4th at p. 246.)

1. Procedural Unconscionability

Procedural unconscionability may occur where there is “oppression that arises from unequal bargaining power and the surprise to the weaker party that results from hidden terms or the lack of informed choice.” (*Ajamian v. CantorCO2e, L.P.* (2012) 203 Cal.App.4th 771, 795.) For example, “oppression” may be found where an agreement was not explained to an employee, the time spent reviewing the agreement was docked from the employee’s pay, and the employee was under the impression that an

immediate signature was required. (*OTO*, 8 Cal.5th at pp. 127-128.) “Surprise” may be shown where the agreement is extremely wordy with complex sentences and legal jargon and written in an extremely small font. (*Ibid.*)

Courts have considered employment contracts provided on a “take-it-or-leave-it” basis to be procedurally unconscionable to some extent. (See *Farrar v Direct Commerce, Inc.* (2017) 9 Cal.App.5th 1257, 1266; see also *Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1243-1245 [discussing a sliding scale and varying degrees of procedural and substantive unconscionability; “[t]he ultimate issue is whether the terms of the contract are sufficiently unfair, in view of all relevant circumstances, that a court should withhold enforcement’].) The “adhesive aspect of an agreement is not dispositive. [Citation].” (*Peng v. First Republic Bank* (2013) 219 Cal.App.4th 1462, 1470; see also *Ramirez v. Charter Communications* (2024) 16 Cal.5th 478, 492-493 (*Ramirez*) [while adhesion contracts are subject to scrutiny, “they remain valid and enforceable unless the resisting party can also show that one or more of the contract’s terms is substantively unconscionable or otherwise invalid”].)

Plaintiff contends that the Agreement is procedurally unconscionable because it is a contract of adhesion. (Opposition, pp. 8:3 - 9:1.) She asserts that there is an element of surprise because the Agreement simultaneously waives her right to bring an action as a private attorney general while also stating that PAGA actions are excluded from the agreement. Plaintiff also points to *Velarde v. Monroe Operations* (2025) 111 Cal.App.5th 1009 (*Velarde*) in support of her contention that the Agreement is unconscionable. (*Id.* at pp. 5:24 – 6:5.) Defendant acknowledges that the Agreement is adhesive but maintains that *Velarde* is distinguishable and any procedural unconscionability in this case is limited. (See Reply, pp. 3:6 – 5:6.)

In *Velarde*, the appellate court found that there was ample evidence of procedural unconscionability. (*Velarde, supra*, 111 Cal.App.5th at p. 1015.) The court pointed out that the contract was adhesive because the employer presented it to the employee and explained that she had to sign it in order to begin working. (*Ibid.*) In addition, the employer in *Velarde* pressured her into agreeing to arbitration by “giving

her little to no time to review the terms” while the HR manager stood and waited for her to sign. (*Ibid.*)

Velarde explicitly told the HR manager she did not understand what the agreement meant. In response, the HR manager misinformed Velarde that the agreement would give Newport Healthcare the power to resolve all disputes between it and Velarde without either party having to pay to for lawyers. This was manifestly untrue, as the agreement required the parties to resolve all covered disputes in an adversarial arbitration before an arbitrator in which all parties would bear their own attorney fees.

(*Id.* at pp. 1015-1016.)

Here, while it is undisputed that the Agreement is an adhesion contract, there is no indication or allegation that Defendant misrepresented the terms of the Agreement or stood and waited for her to sign. While Plaintiff asserts that no one explained the Agreement to her, she does not assert that she expressed misunderstanding of the document or that there was any misrepresentation related to the meaning of the Agreement. Therefore, while the Court finds that there is at least minimal procedural unconscionability due to the adhesive nature of the contract, there is no indication of the additional procedurally unconscionable factors that were present, for example, in *Velarde*. Furthermore, Plaintiff must also establish substantive unconscionability

2. Substantive Unconscionability

“Substantive unconscionability looks beyond the circumstances of contract formation and considers the fairness of an agreement’s actual terms focusing on whether the contract will create unfair or one-sided results. Substantively unconscionable contractual clauses reallocate risks in an objectively unreasonable or unexpected manner.” (*Ramirez, supra*, 16 Cal.5th at p. 493, internal punctuation and citations omitted; see also *Vo v. Technology Credit Union* (2025) 108 Cal.App.5th 632, 641.) “A contract term is not substantively unconscionable when it merely gives one side a greater benefit; rather, the term must be so one-sided as to shock the conscience.” (*Pinnacle, supra*, 55 Cal.4th at p. 246, internal punctuation and citations omitted.)

The test is whether the terms impair the integrity of the bargaining process or otherwise contravene public policy, or the terms “attempt to alter in an impermissible manner

fundamental duties otherwise imposed by the law” or “negate the reasonable expectations of the nondrafting party.” (*Sonic-Calabasas A., Inc. v. Moreno* (2013) 57 Cal.4th 1109, 1145.)

Plaintiff contends the Agreement is substantively unconscionable because it contains an express waiver of the right to bring a representative PAGA claim, because its purported non-delegation clause is unconscionable, and because it lacks mutuality. (Opposition, p. 9:2-22.) Defendant disputes each of these points. (See Reply, pp. 1:13-18 and 5:8 – 9:10.) Defendant asserts that the court must compel arbitration of Plaintiff’s individual PAGA claims because the Agreement calls for arbitration of disputes between Plaintiff and Defendant individually. (See MPA, p. 8:4-10.)

The Agreement here provides that actions may not brought as a private attorney general but also that actions under PAGA are excluded from the Agreement. (See Agreement, p. 1.) The parties dispute the applicability of the United States Supreme Court’s decision in *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639 (*Viking River*), which discussed and overruled in part the California Supreme Court’s decision in *Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348 (*Iskanian*). In July 2023, the California Supreme Court issued its decision in *Adolph v. Uber Technologies, Inc.* (2023) 14 Cal.5th 1104 (*Adolph*), discussing both *Viking Rivier* and *Iskanian*.

In *Iskanian*, the California Supreme Court held that a pre-dispute categorical waiver of the right to bring a PAGA action is unenforceable. (See *Adolph*, 14 Cal.5th at p. 1117.) *Viking Rivier* left this rule undisturbed. (*Ibid.*) The *Viking River* court held that “the FAA preempts the rule of *Iskanian* insofar as it precludes division of PAGA actions into individual and non-individual claims through an agreement to arbitrate.” (*Viking River, supra*, 596 U.S. at p. 662.) The *Adolph* decision makes clear that, in the wake of the United States Supreme Court’s decision in *Viking River*, a PAGA action can have “individual” and “non-individual” claims, and a court may issue an order compelling arbitration of the individual PAGA claims without affecting the plaintiff’s ability to litigate the non-individual PAGA claims. (*Adolph, supra*, 14 Cal.5th at p. 1114 “[w]here a plaintiff has brought a PAGA action comprising individual and non-individual claims, an order compelling arbitration of the individual claims does not strip

the plaintiff of standing as an aggrieved employee to litigate claims on behalf of other employees under PAGA”].)

According to Plaintiff, the entire Agreement is substantively unconscionable because it contains an express waiver of right to bring a PAGA Claim. (Opposition, p. 9:5-7.) The Court is not persuaded because the Agreement expressly states that excepted are “claims brought under the California Private Attorneys’ General Act, Cal. Lab. Code §§ 2698, et seq. and any claims that cannot be compelled to be submitted to mandatory arbitration under applicable federal or state law.” (Agreement, p. 1.) As such, the Agreement does not contain a wholesale waiver of the right to bring PAGA claims. To the contrary, the Court interprets the plain language of Agreement to exclude all PAGA claims from its reach. Plaintiff fails to sufficiently support its remaining arguments regarding substantive unconscionability. The Court finds the delegation clause to be clear, and Plaintiff provides no authority in support of her position that the Agreement here is substantively unconscionable due to a lack of mutuality.

Accordingly, the Court finds that the Plaintiff has not established that the Agreement should not be enforced because it is both procedurally and substantively unconscionable. (See *Diaz, supra*, 34 Cal.App.5th at p. 132 [both procedural and substantive unconscionability must be present for court to refuse enforcement].)

C. Whether Plaintiff’s PAGA Claim May be Compelled to Arbitration

Plaintiff contends that Defendant’s motion to compel her PAGA claim to arbitration must be denied because the Agreement expressly excludes PAGA claims. (Opposition, pp. 10:5 – 12:2.) Plaintiff argues that any conflict between the PAGA waiver and the PAGA exclusion must be resolved by giving full effect to the explicit exclusion of her PAGA claim from arbitration. Defendant counters that this Court should follow *Piplack v. In-N-Out Burgers* (2023) 88 Cal.App.5th 1281 (*Piplack*) regarding the interpretation of PAGA claims and sever the claim into individual and representative components. (Reply, pp. 7:24 – 8:22.)

In *Piplack*, the arbitration agreements at issue required the plaintiffs pursue any claims arising out of their employment with defendant through arbitration under the FAA. (*Piplack, supra*, 88 Cal.App.5th at p. 1285.)

The agreements also contained a private attorney general waiver, which provided, “There will be no right or authority for any dispute to be brought, heard or arbitrated as a private attorney general action (‘Private Attorney General Waiver’).” This waiver was severable under two different clauses. The first provided the waiver was severable “in any case in which (1) the dispute is filed as a private attorney general action and (2) a civil court of competent jurisdiction finds the Private Attorney General Waiver is unenforceable. In such instances, any private attorney general claim must be litigated in a civil court of competent jurisdiction.” The second stated, “The ... Private Attorney General Waiver ... shall be severable in any case in which the dispute is filed as an individual action and severance is necessary to ensure that the individual action proceeds in arbitration.”

(*Ibid.*)

The *Piplack* decision explains: “*Viking’s* modification to the rules set forth by the California Supreme Court in *Iskanian* created the present rule: arbitration agreements between employers and employees that require arbitration of the individual portion of a PAGA claim are enforceable, but arbitration agreements that require arbitration (or waiver) of the representative portion of a PAGA claim are not enforceable.” (*Piplack*, *supra*, 88 Cal.App.5th at p. 1288.) The plaintiffs in *Piplack* argue that, even after *Viking River*, the arbitration agreements there required their claims to be heard in court. (*Ibid.*) The *Piplack* court disagreed, stating that after *Viking River* all PAGA claims are properly understood as being comprised of individual and representative components. (*Ibid.*) The court explained that the individual and representative PAGA claims were severable by virtue of FAA preemption, that the agreement in that case made clear that the “Private Attorney General Waiver ... shall be severable in any case in which the dispute is filed as an individual action and severance is necessary to ensure that the individual action proceeds in arbitration.” (*Id.* at pp. 1288-1289.)

While Defendant asks this Court to apply the same reasoning to this case, the Agreement here contains different language applicable to PAGA claims. Significantly, the Agreement here states that actions brought under PAGA are excluded from the Agreement, without making any distinction between individual or representative claims – unlike the agreement in *Piplack*. This case is also distinguishable from *Piplack* because there the court applied a severability clause to compel the individual component of the PAGA claim to arbitration. Here, while Defendant asserts that the Court should sever unenforceable

provisions, it does not direct the Court to any provision of the Agreement resembling that in *Piplack*.² (See MPA, pp. 13:27 – 14:6, Reply, pp. 9:11 – 10:16.)

Instead of applying a severability provision to sever a PAGA claim into individual and representative components, the Court in this case is asked to apply a provision that excludes PAGA claims from the Agreement entirely. Defendant points to the phrase concluding the list of excluded claims: “and any claims that cannot be compelled to be submitted to mandatory arbitration under applicable federal or state law,” and asks the Court to give it the meaning of the severability language set forth in the agreement at issue in *Piplack*. Nevertheless, in the Court’s view, the specific language of the Agreement in this case does not support Defendant’s proposed interpretation because it effectively asks the Court to re-write the Agreement and give it an effect different than what the parties actually expressed in their written contract. While it may have been the drafter’s intention to exclude individual PAGA claims from the scope the Agreement in accordance with *Viking River*, the Agreement here simply excludes “claims under the California Private Attorneys’ General Act” without making any reference to individual or representative claims in any way.

Accordingly, while the Court does not find that the Agreement is unenforceable because it is unconscionable, Plaintiff persuasively argues that her PAGA claims are expressly excluded from the scope of the Agreement by its terms. As Defendant’s motion pertains only to Plaintiff’s PAGA claims, the Court’s interpretation of the Agreement does not support granting any portion of the motion. Therefore, the motion is DENIED in its entirety.

IV. Conclusion

Defendant’s motion is DENIED.

The prevailing party shall prepare the order in accordance with California Rules of Court, rule 3.1312.

² The Court observes the copy of the Agreement provided contains a page numbered “1” with the arbitration agreement provisions and a page numbered “3” with Plaintiff’s signature, but it does not contain a page numbered “2.”

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